

CH 1 BASIC CONCEPTS

1.1 SCARCITY, ECONOMIC GOODS & FREE GOODS

Microeconomics by Topic
I. Basic Concepts

MARKING SCHEME

1991/CE/II/01 D	2005/CE/II/01 D	1993/CE/II/16 D	2001/CE/II/47 C	2008/CE/II/01 A (63%)
1994/CE/II/01 C	2009/CE/II/01 B	1994/CE/II/02 D	2002/CE/II/01 B (60%)	2009/CE/II/01 B (81%)
1995/CE/II/01 D	1990/CE/II/02 C	1995/CE/II/03 D	2002/CE/II/02 D (84%)	2014/DSE/I/03 C (59%)
1995/CE/II/02 B (deleted)	1990/CE/II/25 C	1996/CE/II/55 C	2003/CE/II/01 B (52%)	2016/DSE/I/01 B (74%)
1997/CE/II/01 D	1991/CE/II/03 D	1997/CE/II/12 C	2004/CE/II/03 B (70%)	2023/DSE/I/05 D
1998/CE/II/54 A	1991/CE/II/55 B	1998/CE/II/01 D	2005/CE/II/02 C (68%)	2024/DSE/I/02 D
1999/CE/II/01 B	1992/CE/II/01 D	1998/CE/II/02 B	2006/CE/II/03 D (72%)	2024/DSE/I/03 A
2004/CE/II/01 D	1992/CE/II/02 X	2000/CE/II/01 C	2007/CE/II/01 B (77%)	2025/DSE/I/03 A

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/2(c)(iii)

The supply is so abundant that it satisfies all human wants for it.

OR

No one is willing to incur a cost getting it.

(2)

The case of a free good: e.g. oxygen for normal breathing

(2)

The case of an economic good: e.g. concentrated oxygen

(2)

1994/CE/I/1

Not a free good, because

resources used in providing the bus service have alternative uses; there are costs of using the resources in providing the bus service.

(1)

OR

more of the bus service is preferred to less.

(3)

2000/CE/I/1

E.g. The ice-field in the Polar regions is a free good, because

the quantity available is sufficient to satisfy all our wants for it / no sacrifice of resources of the economy is involved

(1)

(1)

E.g. Ice cubes in a glass of soft drink are economic goods, because

the quantity available is insufficient to satisfy all our wants for it / one has to pay a cost to obtain it

(1)

(1)

2002/CE/I/1

Not free goods because

the resources used to produce them have alternative uses / there is a cost to society of producing them / the quantity available is insufficient to satisfy all our wants for them

(1)

(2)

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2004/CE/I/1

No, because (1)
its quantity available is insufficient to satisfy our wants / more of it is preferred.

OR

resources used to provide the service had alternative uses / there is opportunity cost of providing the service. (2)

2012/DSE/II/1

No, because (1)
the good may be produced from scarce resource which have alternative uses.

OR

more of the good may still be preferred. (2)

2013/DSE/II/9(b)

No, because (1)
the provision of MTR service involves the use of scarce resources having alternative uses. (1)

2015/DSE/II/(a)(i)

No, because (1)
it has positive marginal cost of production;

OR

it is produced from scarce resources, which have alternative uses. (1)

2020/DSE/II/1

Yes. As the quantity available of free good is able to satisfy all human wants. No one is willing to pay a price to obtain it. (3 marks)

2023/DSE/II/1(c)

(c) No, because (1)
the resources involved in writing these analyses have alternative uses. (1)

OR

more of these analyses are preferred by some people.

2024/DSE/II/10(a)

(a) (i) No. More free flight tickets are preferred. The resources used to produce these services have alternative uses. (2)

(ii) No. The flight tickets are rival in consumption. One's consumption of the tickets reduces their availability to others. (3)